8	Mr. X	Dr.	3,45,000	
	To 12% Debentures Account			1,82,500
	To Capital Reduction A/c			1,62,500
	(The cancellation of 50% of the total debt of Mr. X and the issue of 12% new debentures for the balance amount as per reconstruction scheme)			
9	10% Debentures A/c	Dr.	2,00,000	
	Interest on Debentures Outstanding A/c	Dr.	20,000	
	To 9% Cumulative Preference Share capital A/c			1,32,000
	To Capital Reduction A/c			88,000
	(Being 9% preference share capital issued to 10% debenture-holders for 60% of their claims. The balance is transferred to capital reduction account as per the reconstruction scheme)			
10	Provision for Tax A/c	Dr.	1,00,000	
	Capital Reduction A/c	Dr.	20,000	
	To Bank A/c			1,20,000
	(Being payment of tax liability in full settlement)			
11	Trade payables A/c (1,30,000-50,000)	Dr.	80,000	
	Capital reduction A/c	Dr.	20,000	
	To Inventory A/c			1,00,000
	(Being settlement of creditors by giving inventory)			
12	Capital reduction A/c	Dr.	1,84,600	
	To Investment A/c			30,000
	To Provision for bad debt A/c (2,30,000 x 2%)			4,600
	To Plant & Machinery (7,50,000 x 20%)			1,50,000
	(Investment brought to their market value, Plant & machinery is written down by 20% & Provision for Bad debts of 2% created under the scheme of reconstruction)			
13	Bank A/c	Dr.	2,00,000	
	To 12% debentures A/c			2,00,000
	(New 12% debentures issued to pay off bank overdraft and maintain cash balance)			
14.	Bank Overdraft	Dr.	65,000	
	To Bank A/c			65,000
	(Bank overdraft paid)			
15.	Capital reduction A/c	Dr.	4,27,900	
	To Goodwill A/c			60,000
	To Profit and loss A/c			2,50,000
	To Inventory			20,000
	To Capital reserve A/c			97,900
	(Being goodwill and profit and loss A/c (Dr. bal.), balance inventory; and balance of capital reduction account transferred to capital reserve)			

(b) Notes to accounts

		₹
1.	**Share Capital**	
	Equity share capital	
	Issued, subscribed and paid up	
	84,600 equity shares of ₹ 5 each (75,000 + 9,600)	4,23,000
	47,600 9 % Cumulative Preference Shares of ₹ 7.50 each (30,000 + 17,600)	3,57,000
	Total	**7,80,000**

Working note

1. Calculation of the number of equity shares issued for 2 years arrear of preference share dividend

3,00,000 x 8% x 2 = 48,000

Equity share of ₹ 5 per share issued = 48,000/5 = 9,600 shares

2. Cash & bank Account

Particulars	Amount	Particulars	Amount
To Uncalled capital	50,000	By Bank Overdraft	65,000
To Mr. X	20,000	By Tax	1,20,000
To 12% Debentures A/c (bal. fig.)	2,00,000	By Balance C/d	85,000
	2,70,000		**2,70,000**

3. The new face value of preference share is = 10 – 2.5 = ₹ 7.5

Number of 9% Preference shares issued in consideration of reduction = 1,32,000/7.5 = 17,600

Question 20

Following is the summarized Balance Sheets of Z Limited as on 31st March, 20X1:

Particulars	₹
EQUITY AND LIABILITIES	
Share capital	
Equity shares of ₹ 100 each	60,00,000
8% Preference shares of ₹ 100 each	21,00,000
10% Debentures of ₹ 100 each	18,00,000
Trade Payables	16,80,000
Total	**1,15,80,000**
ASSETS	
Goodwill	81,000
Property, Plant and Equipment	72,00,000
Trade receivables	13,75,000
Inventories	9,80,000
Cash at Bank	1,33,000

Own Debentures (Nominal value of ₹ 6 lakhs)	5,76,000
Profit and Loss A/c	12,35,000
Total	**1,03,45,000**

On 1st April, 20X1, court approved the following reconstruction scheme for Z Limited:

(i) Each equity share shall be sub-divided into 10 equity shares of ₹ 10 each fully paid up. After sub-division, equity share capital will be reduced by 40%.

(ii) Preference share dividends are in arrear for last 4 years. Preference shareholders agreed to waive 75% of their dividend claim and accept payment for the balance.

(iii) Own debentures of ₹ 2,40,000 (nominal value) were sold at 98 cum interest and remaining own debentures were cancelled.

(iv) Debenture holders of ₹ 6,00,000 agreed to accept one machinery of book value of ₹ 9,00,000 in full settlement.

(v) Remaining Property, Plant and Equipment were valued at ₹ 60,00,000.

(vi) Trade Payables, Trade Receivables and Inventories were valued at ₹ 15,00,000, ₹ 13,00,000 and ₹ 9,44,000 respectively. Goodwill and Profit and Loss Account (Debit balance) are to be written off.

(vii) Company paid ₹ 60,000 as penalty to avoid capital commitments of ₹ 12 lakhs.

(viii) Interest on 10% Debentures is paid every year on 31st March.

You are required to:

(1) Pass necessary journal entries in the books of Z Limited to implement the above schemes.

(2) Prepare Capital Reduction Account.

(3) Prepare Bank Account

Answer

(1) Journal entries

In the Books of Z Ltd. as on 1st April 20X1

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity share capital A/c (₹ 100)	Dr.	60,00,000	
	To Equity share capital A/c (₹ 10)			60,00,000
	(Being sub-division of one share of ₹ 100 into 10 shares of ₹ 10 each)			
2	Equity share capital A/c (₹ 10)	Dr.	24,00,000	
	To Capital reduction A/c			24,00,000
	(Being reduction of Equity capital by 40%)			
3	Capital reduction A/c	Dr.	1,68,000	
	To Bank A/c [(21,00,000 x 8%) x 4 years]			1,68,000
	(Being payment in cash of 25% of arrear of preference dividend)			
4	Bank A/c	Dr.	2,35,200	
	To Own debentures A/c [(5,76,000/6,00,000) x 2,40,000]			2,30,400
	To Capital reduction A/c			4,800
	(Being profit on sale of own debentures of ₹ 2,40,000 transferred to capital reduction A/c)			

5	10% Debentures A/c (6,00,000 – 2,40,000)	Dr.	3,60,000	
	To Own debentures A/c			3,45,600
	To Capital reduction A/c			14,400
	(Being profit on cancellation of own debentures transferred to capital reduction A/c)			
6	10% Debentures A/c	Dr.	6,00,000	
	Capital reduction A/c	Dr.	3,00,000	
	To Machinery or PPE A/c			9,00,000
	(Being machinery taken up by debenture holders for ₹ 6,00,000)			
7	Capital reduction A/c (balancing figure)	Dr.	3,00,000	
	To PPE A/c (72,00,000 – 9,00,000 – 60,00,000)			3,00,000
	(Being PPE revalued)			
8	Trade payables A/c (16,80,000 – 15,00,000)	Dr.	1,80,000	
	To Trade receivables A/c (13,75,000 – 13,00,000)			75,000
	To Inventory A/c (9,80,000 – 9,44,000)			36,000
	To Capital Reduction A/c			69,000
	(Being assets and liabilities revalued)			
9	Capital reduction A/c	Dr.	13,16,000	
	To Goodwill A/c			81,000
	To Profit and Loss A/c			12,35,000
	(Being the above assets written off)			
10	Capital reduction A/c	Dr.	60,000	
	To Bank A/c			60,000
	(Being penalty paid for avoidance of capital commitments)			
11	Capital reduction A/c	Dr.	3,44,200	
	To Capital reserve A/c			3,44,200
	(Being the credit balance in Capital Reduction A/c transferred to Capital Reserve)			

(2) Capital Reduction Account

Particulars	Amount	Particulars	Amount
To Bank	1,68,000	By Equity Share Capital	24,00,000
To Property, Plant & Equipment	3,00,000	By Trade Payable	1,80,000
To Property, Plant & Equipment	3,00,000	By Bank A/c (Profit on Sale)	4,800
To Trade Receivables	75,000	By 10% debentures A/c	14,400
To Inventory	36,000	(Profit on cancellation)	
To Goodwill	81,000		
To Profit and Loss A/c	12,35,000		
To Cash/Bank A/c	60,000		
To Capital Reserve	3,44,200		
	25,99,200		**25,99,200**

(3) **Bank Account**

Particulars	Amount	Particulars	Amount
To balance b/d	1,33,000	By Capital Reduction	1,68,000
To Own Debenture (2,30,400 + 4,800)	2,35,200	By Capital Reduction A/c	60,000
		By balance c/d	1,40,200
	3,68,200		**3,68,200**

Question 21

The following is the Balance Sheet of Star Ltd. as on 31st March, 20X1:

Particulars			₹
		Equity and Liabilities	
1		**Shareholders' funds**	
	(a)	Share capital	
		9,000 7% Preference Shares of ₹ 100 each fully paid	9,00,000
		10,000 Equity Shares of ₹ 100 each fully paid	10,00,000
	(b)	Reserves and Surplus	
		Profit & Loss Account	(2,00,000)
2		**Non-current liabilities**	
		"A" 6% Debentures (Secured on Bombay Works)	3,00,000
		"B" 6% Debentures (Secured on Chennai Works)	3,50,000
3		**Current liabilities**	
	(a)	Workmen's Compensation Fund:	
		Bombay Works	10,000
		Chennai Works	5,000
	(b)	Trade Payables	1,25,000
		Total	**24,90,000**
		Assets	
1		**Non-current assets**	
	(a)	Property, Plant and Equipment and intangible asset	
		i Property, plant and Equipment	
		Bombay Works	9,50,000
		Chennai Works	7,75,000
	(b)	Non-current investment	
		Investments for Workmen's Compensation Fund	15,000
2		**Current assets**	
	(a)	Inventories	4,50,000
	(b)	Trade receivables	2,50,000
	(c)	Cash and Cash equivalents	50,000
		Total	**24,90,000**

A reconstruction scheme was prepared and duly approved. The salient features of the scheme were as follows:

(i) Paid up value of 7% Preference Share to be reduced to ₹ 80, but the rate of dividend being raised to 9%.

(ii) Paid up value of Equity Shares to be reduced to ₹ 10.

(iii) The directors to refund ₹ 50,000 of the fees previously received by them.

(iv) Debenture holders forego their interest of ₹ 26,000 which is included among the trade payables.

(v) The preference shareholders agreed to waive their claims for preference share dividend, which is in arrears for the last three years.

(vi) "B" 6% Debenture holders agreed to take over the Chennai Works at ₹ 4,25,000 and to accept allotment of 1,500 equity shares of ₹ 10 each at par, and upon their forming a company called Zia Ltd. (to take over the Chennai Works) they allotted 9,000 equity shares of ₹ 10 each fully paid at par to Star Ltd.

(vii) The Chennai Workmen's compensation fund disclosed that there were actual liabilities of ₹ 1,000 only. As a consequence, investments of fund were realized to the extent of balance. Entire investments were sold at a profit of 10% on book value and the proceeds were utilized for part payment of the creditors.

(viii) Inventory was to be written off by ₹ 1,90,000 and a provision for doubtful debts is to be made to the extent of ₹ 20,000.

(ix) Chennai works completely written off.

(x) Any balance of the Capital Reduction Account is to be applied as two-third to write off the value of Bombay Works and one-third to Capital Reserve.

Pass necessary Journal Entries in the books of Star Ltd. after the scheme has been carried into effect.

Answer

In the books of Star Ltd.

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	7% Preference share capital (₹ 100)	Dr.	9,00,000	
	To 9% Preference share capital (₹ 80)			7,20,000
	To Capital reduction A/c			1,80,000
	(Being preference shares reduced to ₹ 80 and also rate of dividend raised from 7% to 9%)			
2	Equity share capital A/c (₹ 100 each)	Dr.	10,00,000	
	To Equity share capital A/c (₹ 10 each)			1,00,000
	To Capital reduction A/c			9,00,000
	(Being reduction of nominal value of one share of ₹ 100 to ₹ 10 each)			
3	Bank A/c	Dr.	50,000	
	To Capital reduction A/c			50,000
	(Being directors refunded the fee amount)			
4	Trade payables A/c (Interest on debentures)	Dr.	26,000	
	To Capital reduction A/c			26,000
	(Being interest forgone by the debenture holders)			
5	No entry required			

6 a	'B' 6% Debentures A/c Dr.	3,50,000	
	To Debentures holders A/c		3,50,000
	(Being amount due to Debentures holders)		
6 b	Debentures holders A/c Dr.	4,40,000	
	To Chennai Works A/c		4,25,000
	To Equity share capital A/c		15,000
	(Being Chennai works taken over and equity shares issued to 'B' 6% Debenture holders)		
6 c	Equity share of Zia ltd. A/c Dr.	90,000	
	To Debentures holders A/c		90,000
	(Being 9,000 equity shares of Zia Ltd. issued by Debentures holders)		
7 a	Chennai Works - Workmen Compensation Fund Dr.	4,000	
	To Capital reduction A/c		4,000
	(Being difference due to reduced amount of actual liability transferred to capital reduction account)		
7 b	Bank A/c Dr.	15,400	
	To Investment for Workmen Compensation Fund		14,000
	To Capital reduction A/c		1,400
	(Being investment for workmen compensation fund sold @ 10% profit)		
7 c	Trade Payables A/c Dr.	15,400	
	To Bank A/c		15,400
	(Being part payment made to trade payables)		
8	Capital reduction A/c Dr.	2,10,000	
	To Provision for Doubtful Debts A/c		20,000
	To Inventory A/c		1,90,000
	(Being assets revalued)		
9	Capital reduction A/c Dr.	5,50,000	
	To Profit & Loss A/c		2,00,000
	To PPE - Chennai Works		3,50,000
	(Being assets revalued and losses written off)		
10	Capital reduction A/c Dr.	4,01,400	
	To PPE - Bombay Works		2,67,600
	To Capital reserve A/c		1,33,800
	(Being assets revalued and remaining amount transferred to capital reserve account)		

Question 22

The Balance Sheet of Revise Limited as at 31st March, 20X1 was as follows:

Particulars	**Notes**	**₹**
Equity and Liabilities		

1		**Shareholders' funds**		
	(a)	Share capital	1	10,00,000
	(b)	Reserve and surplus	2	(6,00,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	2,00,000
3		**Current liabilities**		
	(a)	Trade Payables		72,000
	(b)	Other current liabilities	4	24,000
	(c)	Short term provisions	5	24,000
		Total		**7,20,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	6	1,00,000
2		**Current assets**		
	(a)	Inventories		3,20,000
	(b)	Trade receivables		2,70,000
	(c)	Cash and Cash equivalents		30,000
		Total		**7,20,000**

Notes to accounts

		₹
1	**Share Capital**	
	Equity share capital	
	10,000 Equity Shares of ₹ 100 each	10,00,000
		10,00,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(6,00,000)
		(6,00,000)
3	**Long-term borrowings**	
	12% debentures	2,00,000
		2,00,000
4	**Other current liabilities**	
	Interest payable on debentures	24,000
		24,000
5	**Short term provisions**	
	Provision for taxation	24,000
		24,000
6	**Property, Plant and Equipment**	
	Machinery	1,00,000
		1,00,000

It was decided to reconstruct the company for which necessary resolution was passed and sanctions were obtained from appropriate authorities. Accordingly, it was decided that:

(a) Each share is sub-divided into ten fully paid up equity shares of ₹ 10 each.

(b) After sub-division, each shareholder shall surrender to the company 50% of his holding, for the purpose of re-issue to debenture holders and trade payables as necessary.

(c) Out of shares surrendered, 10,000 shares of ₹ 10 each shall be converted into 12% preference shares of ₹ 10 each, fully paid up.

(d) The claims of the debenture-holders shall be reduced by 75 percent. In consideration of the reduction, the debenture holders shall receive preference shares of ₹ 1,00,000 which are converted out of shares surrendered.

(e) Trade payables claim shall be reduced to 50 per cent, balance is to be settled by the issue of equity shares of ₹ 10 each out of shares surrendered.

(f) Balance of profit and loss account to be written off.

(g) The shares surrendered and not re-issued shall be cancelled.

You are required to show the journal entries giving effect to the above and the resultant Balance Sheet

Answer

In the books of Revise Ltd.

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital (₹ 100) A/c	Dr.	10,00,000	
	To Share Surrender A/c			5,00,000
	To Equity Share Capital (₹ 10) A/c			5,00,000
	(Subdivision of 10,000 equity shares of ₹ 100 each into 1,00,000 equity shares of ₹ 10 each and surrender of 50,000 of such subdivided shares as per capital reduction scheme)			
2	12% Debentures A/c	Dr.	1,50,000	
	Interest payable A/c	Dr.	18,000	
	To Reconstruction A/c			1,68,000
	(Transferred 75% of the claims of the debenture holders to reconstruction account in consideration of which 12% preference shares are being issued out of share surrender account as per capital reduction scheme)			
3	Trade payables A/c	Dr.	72,000	
	To Reconstruction A/c			72,000
	(Transferred claims of the trade payables to reconstruction account, 50% of which is being clear reduction and equity shares are being issued in consideration of the balance)			
4	Share Surrender A/c	Dr.	5,00,000	
	To 12% Preference Share Capital A/c			1,00,000
	To Equity Share Capital A/c			36,000
	To Reconstruction A/c			3,64,000

	(Issued preference and equity shares to discharge claims of the debenture holders and the trade payables respectively as a per scheme and the balance in share surrender account is being transferred to reconstruction account)		
5	Reconstruction A/c Dr.	6,04,000	
	To Profit and Loss A/c		6,00,000
	To Capital Reserve A/c		4,000
	(Adjusted debit balance of profit and loss account against the reconstruction account and the balance in the latter is being transferred to capital reserve)		

Balance Sheet of Revise Limited (and reduced) as at...

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,36,000
	(b)	Reserves and Surplus	2	4,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	50,000
3		**Current liabilities**		
	(a)	Other Current Liabilities	4	6,000
	(b)	Short-term provisions	5	24,000
		Total		**7,20,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	6	1,00,000
2		**Current assets**		
	(a)	Inventories		3,20,000
	(b)	Trade receivables		2,70,000
	(c)	Cash and cash equivalents		30,000
		Total		**7,20,000**

Notes to Accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	53,600 Equity Shares of ₹ 10 each	5,36,000
	Preference Shares	1,00,000
	(Of the above shares all are allotted as fully paid up pursuant to capital reduction scheme by conversion of equity shares without payment being received in cash)	
		6,36,000
2.	**Reserve and Surplus**	
	Capital Reserve	**4,000**
3.	**Long-term borrowings**	

	Unsecured Loans: 12% Debentures	**50,000**
4.	**Other current liabilities**	
	Interest payable on debentures	**6,000**
5.	**Short-term provisions**	
	Provision for Income-tax	**24,000**
6.	**Property, plant and Equipment**	
	Machinery	**1,00,000**

Question 23

Following information from Balance Sheet of Ruby Limited as on 31st March, 20X1.

	Amount ₹
Authorised and Issued equity share capital:	
60,000 shares of ₹ 100 each fully paid	60,00,000
40,000 7% cumulative preference shares of ₹ 100 each fully paid	40,00,000
General Reserve	12,00,000
Loan from Director	8,80,000
Trade Payables	49,20,000
Outstanding expenses	6,40,000
Bank loan	6,00,000
Patent	8,00,000
Plant & machinery	60,00,000
Building	11,00,000
Trade receivables	47,00,000
Inventory	32,60,000
Cash	2,40,000
Bank Balance	4,60,000
Profit and Loss account (Debit)	16,80,000

Note: The arrears of preference dividend amount to ₹ 5,60,000.

The company had suffered losses since last 3 years due to bad market conditions and hope for a better position in the future.

The following scheme of reconstruction has been agreed upon and duly approved by all concerned:

(1) Equity shares to be converted into 6,00,000 shares of ₹ 10 each.

(2) Equity shareholders to surrender to the company 80 percent of their holdings.

(3) Preference shareholders agree to forgo their right on arrears of dividends in consideration of which 7% preference shares are to be converted into 8% preference shares.

(4) Trade payables agree to reduce their claim by one fourth in consideration of their getting shares of ₹ 10,00,000 out of the surrendered equity shares.

(5) Directors agree to forego the amounts due on account of loan.

(6) Surrendered shares not otherwise utilized to be cancelled.

(7) Assets to be reduced as under:

	₹
Patent to	Nil
Plant & Machinery by	8,00,000
Inventory by	6,80,000

(8) Trade receivables to the extent of ₹ 34,00,000 are considered good.

(9) Revalued figures for building is accepted at ₹ 14,00,000.

(10) Bank loan is paid.

(11) Any surplus after meeting the losses should be utilized in writing down the value of the plant further.

(12) Expenses of reconstruction amounted to ₹ 1,20,000.

(13) Further 80,000 equity shares were issued to the existing members for increasing the working capital. The issue was fully subscribed and paid up.

You are required to pass the Journal Entries for giving effect to the above arrangement and also to draw up the resultant Balance Sheet of the Company.

Answer

Books of Ruby Ltd.

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital (₹ 100 each) a/c	Dr	60,00,000	
	To Equity share capital (₹ 10 each) A/c			60,00,000
	(Sub division of equity share into ₹ 10 each)			
2	Equity Share Capital (₹ 10) A/c	Dr.	48,00,000	
	To Share surrendered A/c			48,00,000
	(Surrender of 80% of shareholding by equity shareholders)			
3	7% Cumulative preference share capital A/c	Dr.	40,00,000	
	To 8% cumulative preference share capital A/c			40,00,000
	(Conversion of 7% cumulative preference share capital into 8% cumulative preference share capital. They also forgo their right to arrears of dividends)			
4	Shares Surrendered A/c	Dr.	10,00,000	
	To Equity share capital A/c			10,00,000
	(Surrendered share issued against trade payables under reconstruction scheme)			
5	Bank loan A/c	Dr.	6,00,000	
	Expenses of reconstruction A/c	Dr.	1,20,000	
	To Bank A/c			7,20,000
	(Bank loan and reconstruction expenses paid)			
6	Share surrendered A/c	Dr.	38,00,000	
	To Capital Reduction A/c			38,00,000
	(Cancellation of unissued surrendered shares) (48,00,000 – 10,00,000)			

7	Loan from Director A/c	Dr.	8,80,000	
	Trade Payables A/c	Dr.	12,30,000	
	Building A/c	Dr.	3,00,000	
	To Capital reduction A/c			24,10,000
	(Amount sacrificed by directors and trade payables and appreciation in value of building)			
8	Capital reduction A/c	Dr.	62,10,000	
	To Patent A/c			8,00,000
	To Trade receivables A/c			13,00,000
	To Inventory A/c			6,80,000
	To Profit and Loss A/c			16,80,000
	To Expenses on Reconstruction A/c			1,20,000
	To Plant A/c (bal. fig) (8,00,000 + 8,30,000)			16,30,000
	(Various assets and expenses written off)			
9	Bank A/c	Dr.	8,00,000	
	To Share application money A/c			8,00,000
	(Application money received on full and final payment)			
10	Share application money A/c	Dr.	8,00,000	
	To Share capital A/c			8,00,000
	(Being 80,000 equity shares of ₹ 10 each issued and fully paid up)			

Note: Cancellation of preference dividend need not be journalised. On cancellation, it ceases to be contingent liability and hence no further disclosure required.

Balance Sheet of Ruby Ltd. (and Reduced) as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	70,00 000
	(b)	Reserves and Surplus		12,00 000
2		**Current liabilities**		
	(a)	Trade payables (49,20,000 – 12,30,000)		36,90,000
	(b)	Other current liabilities (outstanding expenses)		6,40,000
		Total		**1,25,30,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	2	57,70,000
		ii Intangible Asset	3	–
2		**Current assets**		
	(a)	Inventories (32,60,000 – 6,80,000)		25,80,000
	(b)	Trade receivables (47,00,000 – 13,00,000)		34,00,000

	(c)	Cash and cash equivalents	4	7,80,000
		Total		**1,25,30,000**

Notes to the financial statements

S. No.	Particulars	₹
1	**Share Capital**	
	Authorised	
	6,00,000 equity shares of ₹ 10 each	60,00,000
	40,000 8% cumulative preference shares of ₹ 100 each	40,00,000
		1,00,00,000
	Issued, subscribed and fully paid up	
	3,00,000 equity shares of ₹ 10 each	30,00,000
	(of the above, 1,00,000 shares were issued as fully paid up for consideration other than cash under the scheme of reconstruction)	
	40,000 8% cumulative preference shares of ₹ 100 each	40,00,000
		70,00,000
2	**Property, Plant and Equipment**	
	Plant (60,00,000 – 16,30,000)	43,70,000
	Building (11,00,000 + 3,00,000)	14,00,000
		57,70,000
3	**Intangible assets**	
	Patent (8,00,000 – 8,00,000)	**–**
4	**Cash and cash equivalents**	
	Balance with bank (4,60,000 – 6,00,000 – 1,20,000 + 8,00,000)	5,40,000
	Cash on hand	2,40,000
		7,80,000

CHAPTER - 31
Accounting for Branches Including Foreign Branches

Profit/Loss of Dependent Branch if HO Sent Goods to Branch at Cost

Question 1

The Bombay Traders invoiced goods to its Delhi branch at cost. Head Office paid all the branch expenses from its bank account, except petty cash expenses which were met by the Branch. All the cash collected by the branch was banked on the same day to the credit of the Head Office. The following is a summary of the transactions entered into at the branch during the year ended December 31, 20X1.

	₹		₹
Balances as on 1.1.20X1:		Bad Debts	600
Stock	7,000	Goods returned by customers	500
Debtors	12,600	Salaries & Wages	6,200
Petty Cash	200	Rent & Rates	1,200
Goods sent from H.O.	26,000	Sundry Expenses	800
Goods returned to H.O.	1,000	Cash received from Sundry Debtors	28,500
Cash Sales	17,500	Balances as on 31.12.20X1:	
Credit Sales	28,400	Stock	6,500
Allowances to customers	200	Debtors	9,800
Discount to customers	1,400	Petty Cash	100

Prepare: (a) Branch Account (Debtors Method), (b) Branch Stock Account, Branch Profit & Loss Account, Branch Debtors and Branch Expenses Account by adopting the Stock and Debtors Method and (c) Branch Trading and Profit & Loss Account to prove the results as disclosed by the Branch Account.

Answer

(a) Debtors Method

Delhi Branch Account

20X1		₹	₹	20X1		₹	₹
Jan. 1	To Opening branch assets:			Dec 31	By Bank:		
	Stock	7,000			Cash Sales	17,500	
	Debtors	12,600			Cash from Debtors	28,500	46,000
	Petty cash	200	19,800		By Goods sent to Br. A/c		
Dec. 31	To Goods sent to Br. A/c		26,000		(Returns to H.O.)		1,000
	To Bank:				By Closing branch asset		
	Salaries & Wages	6,200			Stock	6,500	
	Rent & Rates	1,200			Debtors	9,800	
	Sundry Exp.	800	8,200		Petty Cash	100	16,400
	To NP c/f to Gen. P&L A/c		9,400				
			63,400				**63,400**
20X2							
Jan. 1	To Balance b/d		16,400				

(b) Stock and Debtors Method

Branch Stock Account

20X1		₹	20X1		₹	₹
Jan. 1	To balance b/d	7,000	Dec 31	By Sales:		
Dec. 31	To Goods Sent to Branch A/c	26,000		Cash	17,500	
	To Branch P&L A/c	19,900		Credit	28,400	
				Less: Return	(500)	45,400
				By Goods sent to Branch A/c Return		1,000
				By balance c/d		6,500
		52,900				**52,900**
20X2						
Jan. 1	To balance b/d	6,500				

Delhi Branch Debtors Account

20X1		₹	20X1		₹
Jan. 1	To Balance b/d	12,600	Dec. 31	By Cash	28,500
Dec. 31	To Sales	28,400		By Returns	500
				By Allowances	200
				By Discounts	1,400
				By Bad debts	600
				By Balance c/d	9,800
		41,000			**41,000**
20X2 Jan. 1	To Balance b/d	9,800			

Delhi Branch Expenses Account

20X1		₹	20X1		₹
Dec. 31	To Salaries & Wages	6,200	Dec. 31	By Branch P&L A/c	10,500
	To Rent & Rates	1,200			
	To Sundry Expenses	800			
	To Petty Cash expenses (200 – 100)	100			
	To Allowance to customers	200			
	To Discount	1,400			
	To Bad Debts	600			
		10,500			**10,500**

Delhi Branch Profit & Loss Account

20X1		₹	20X1		₹
Dec. 31	To Branch Exp. A/c	10,500		By Gross Profit b/d	19,900
	To NP c/f to General P & L A/c	9,400			
		19,900			**19,900**

(c) Branch Trading and Profit and Loss Account

Particulars		₹	Particulars			₹
To Stock		7,000	By Sales:			
To Goods sent from H.O.	26,000		Cash		17,500	
Less: Returns to H.O.	(1,000)	25,000	Credit	28,400		
To Gross profit c/d		19,900	Less: returns	(500)	27,900	45,400
			By Closing Stock			6,500
		51,900				**51,900**
To Salaries & Wages		6,200	By Gross Profit b/d			19,900
To Rent & Rates		1,200				
To Sundry Exp.		800				
To Petty Cash Exp.		100				
To Allowances to Customers		200				
To Discounts		1,400				
To Bad Debts		600				
To Net Profit		9,400				
		19,900				**19,900**

Question 2

Buckingham Bros, Bombay have a branch at Nagpur. They send goods at cost to their branch at Nagpur. However, direct purchases are also made by the branch for which payments are made at head office. All the daily collections are transferred from the branch to the head office.

From the following, prepare Nagpur branch account in the books of head office by Debtors method:

	₹		₹
Opening balance (1-1-20X1):		Petty Cash expenses	4,000
Imprest Cash	2,000	Bad Debts	1,000
Sundry Debtors	25,000	Discount to Customers	2,000
Stock: Transferred from H.O.	24,000	Remittances to H.O. (received by H.O.)	1,65,000
Direct Purchases	16,000	Remit. to H.O. (not rec. by H.O. so far)	5,000
Cash Sales	45,000	Branch Exp. directly paid by H.O.	30,000
Credit Sales	1,30,000	Closing Balance (31-12-20X1):	
Direct Purchases	45,000	Stock: Direct Purchase	10,000
Returns from Customers	3,000	Transfer from H.O.	15,000
Goods sent to branch from H.O.	60,000	Debtors	?
Transfer from H.O. for Petty Cash exp.	4,000	Imprest Cash	?

Also prepare Nagpur Branch Trading and Profit and Loss Account in the books of head office.

Answer

In the Books of Buckingham Bros, Bombay Nagpur Branch Account

Particulars	₹	Particulars		₹

To Opening Branch Assets:		By Bank: Remittances by branch:		
Stock (24,000 + 16,000)	40,000	Cash Sales	45,000	
Debtors	25,000	Cash from Debtors (Note)	1,20,000	
Imprest Cash	2,000	Cash in transit (Note)	5,000	1,70,000
To Goods sent to Branch A/c	60,000	By Closing Branch Assets:		
To Creditors (Direct Purchases)	45,000	Stock (15,000 + 10,000)		25,000
To Bank (Sundry exp.)	30,000	Debtors (W.N. 1)		24,000
To Bank (Petty cash exp.)	4,000	Imprest Cash (W.N. 2)		2,000
To N.P. trans. to Gen. Profit & Loss A/c	15,000			
	2,21,000			**2,21,000**

Nagpur Branch-Trading and Profit and Loss Account for the year ending 31st December, 20X1

Particulars	₹	Particulars	₹	₹
To Opening Stock	40,000	By Sales		
To Goods transferred from Head Office	60,000	Cash	45,000	
To Purchases	45,000	Credit sales	1,30,000	
To Gross Profit c/d	52,000	Less: Returns	(3,000)	1,72,000
		By Closing Stock		25,000
	1,97,000			**1,97,000**
To Expenses	30,000	By Gross Profit b/d		52,000
To Discounts	2,000			
To Bad Debts	1,000			
To Petty Cash Expenses	4,000			
To NP transferred to General P&L A/c	15,000			
	52,000			**52,000**

Working Notes:

1. Memorandum Debtors A/c

Particulars	₹	Particulars	₹
To Bal b/d	25,000	By Sales Return	3,000
To Sales	130,000	By Bad Debts	1,000
		By Discount	2,000
		By Cash (Note)	1,25,000
		By Bal c/d	24,000
	155,000		**155,000**

2. Memorandum Petty Cash

Particulars	₹	Particulars	₹
To Bal b/d	2,000	By Expenses (met by Branch)	4,000
To Transfer from H.O.	4,000	By Bal c/d	2,000
	6,000		**6,000**

Note: Collection from Debtors = Total Remittances (1,65,000 + 5,000) – Cash Sales (45,000) = ₹ 1,25,000

Question 3

From the following particulars relating to Pune branch for the year ending December 31, 20X1, prepare Branch Account in the books of Head office.

		₹
Stock at Branch on January 1, 20X1		10,000
Branch Debtors on January 1, 20X1		4,000
Branch Debtors on Dec. 31, 20X1		4,900
Petty cash at branch on January 1, 20X1		500
Furniture at branch on January 1, 20X1		2,000
Prepaid fire insurance premium on January 1, 20X1		150
Salaries outstanding at branch on January 1, 20X1		100
Good sent to Branch during the year		80,000
Cash Sales during the year		1,30,000
Credit Sales during the year		40,000
Cash received from debtors		35,000
Cash paid by the branch debtors directly to the Head Office		2,000
Discount allowed to debtors		100
Cash sent to branch for Expenses:		
Rent	2,000	
Salaries	2,400	
Petty Cash	1,000	
Annual Insurance up to March 31, 20X2	600	6,000
Goods returned by the Branch		1,000
Goods returned by the debtors		2,000
Stock on December 31, 20X1		5000
Petty Cash spent by branch		850
Provide depreciation on furniture 10% p.a.		

Goods costing ₹ 1,200 were and a sum of ₹ 1,000 was received from the Insurance Company.

Answer

Pune Branch Account

Particulars	₹	₹	Particulars	₹	₹
To Opening Balance			By Opening Balance:		
Stock		10,000	Salaries outstanding		100
Debtors		4,000	By Remittances:		
Petty Cash		500	Cash sales	1,30,000	
Furniture		2,000	Cash rec. from debtors	35,000	
Prepaid Insurance		150	Cash paid by deb. to H.O.	2,000	
To Goods sent to Br. A/c		80,000	Rec. Insurance Company	1,000	1,68,000
To Bank (expenses)			By Good sent to br. (Return)		1,000

Rent	2,000		By Closing Balances:		
Salaries	2,400		Stock		5,000
Petty Cash	1,000		Petty Cash		650
Insurance	600	6,000	Debtors		4,900
To Net Profit		78,950	Furniture (2,000 – 10% dep.)		1,800
			Prepaid ins. (1/4 x ₹ 600)		150
		1,81,600			**1,81,600**

Working Note:

Calculation of petty cash balance at the end:	**₹**
Opening balance	500
Add: Cash received form the Head Office	1,000
Total Cash with branch	1,500
Less: Spent by the branch	(850)
Closing balance	650

Question 4

Arnold of Delhi, trades in Ghee and Oil. It has a branch at Lucknow. He dispatches 25 tins of Oil @ ₹ 1,000 per tin and 15 tins of Ghee @ ₹ 1,500 per tin on 1st of every month. The branch incurs some expenditure which is met out of its collections; this is in addition to expenditure directly paid by Head Office.

Following are the other details:

		Delhi (₹)	**Lucknow (₹)**
Purchases	Ghee	14,75,000	–
	Oil	29,32,000	–
Direct expenses		3,83,275	–
Expenses paid by H.O.		–	14,250
Sales	Ghee	18,46,350	3,42,750
	Oil	27,41,250	3,15,730
Collection during the year		–	6,47,330
Remittance by Branch to Head Office		–	6,13,250

	(Delhi)	
Balance as on:	**1-1-20X1**	**31-12-20X1**
Stock: Ghee	1,50,000	3,12,500
Oil	3,50,000	4,17,250
Debtors	7,32,750	–
Cash on Hand	70,520	55,250
Furniture & Fittings	21,500	19,350
Plant/Machinery	3,07,250	7,73,500

	(Lucknow)	
Balance as on:	**1-1-20X1**	**31-12-20X1**
Stock: Ghee	17,000	13,250
Oil	27,000	44,750
Debtors	75,750	?
Cash on Hand	7,540	12,350
Furniture & Fittings	6,250	5,625
Plant/Machinery	–	

Addition to Plant/Machinery on 1-1-20X1 ₹ 6,02,750.

Rate of Depreciation: Furniture/Fittings @ 10% and Plant/Machinery @ 15% (already adjusted in the above figures).

The Branch Manager is entitled to 10% commission after charging such commission whereas, the General Manager is entitled to 10% commission on overall company profits after charging such commission. General Manager is also entitled to a salary of ₹ 2,000 p.m. General expenses incurred by H.O. ₹ 24,000.

Prepare Branch Account in the head office books and also prepare the Arnold's Trading and Profit and Loss A/c (excluding branch transactions).

Answer

In the books of Arnold

Lucknow Branch Account

	₹		₹
To Balance b/d:		By Bank (Remittance)	6,13,250
Opening stock:		By Balance c/d:	
Ghee	17,000	Closing stock:	
Oil	27,000	Ghee	13,250
Debtors	75,750	Oil	44,750
Cash on hand	7,540	Debtors (W.N. 1)	86,900
Furniture & fittings	6,250	Cash on hand (W.N. 2)	12,350
To Goods sent to Branch A/c		Furniture & fittings	5,625
Ghee (15 x 1500 x 12)	2,70,000		
Oil (25 x 1000 x 12)	3,00,000		
To Bank (Expenses paid)	14,250		
To Br. Manager comm.	5,303		
(₹ 58,335 x 1/11)			
To N.P. trans. to General P&L A/c	53,032		
	7,76,125		**7,76,125**

Arnold Trading and Profit and Loss account for the year ended 31st December, 20X1

(Excluding branch transactions)

	₹		₹
To Opening Stock:		By Sales:	

Ghee		1,50,000	Ghee		18,46,350
Oil		3,50,000	Oil		27,41,250
To Purchases:			By Closing Stock:		
Ghee	14,75,000		Ghee		3,12,500
Less: GSTB	(2,70,000)	12,05,000	Oil		4,17,250
Oil	29,32,000				
Less: GSTB	(3,00,000)	26,32,000			
To Direct Expenses		3,83,275			
To Gross Profit c/d		5,97,075			
		53,17,350			**53,17,350**
To Manager's Salary (Balance c/d)		24,000	By Gross Profit b/d		5,97,075
To General Expenses		24,000	By Branch Profit transferred		53,032
To Depreciation:					
Furniture @10%	2,150				
Plant & Machinery @ 15% (W.N.3)	1,36,500	1,38,650			
To General Manager's Commission @ 10% (i.e., 4,63,457 x 1/11)		42,132			
To Net profit		4,21,325			
		6,50,107			**6,50,107**

Working Notes:

(1) Memorandum Branch Debtors Account

	₹		₹
To Balance b/d	75,750	By Cash Collections (including Cash Sales)	6,47,330
To Sales (including Cash Sales)		By Balance c/d	86,900
Ghee	3,42,750		
Oil	3,15,730		
	7,34,230		**7,34,230**

(2) Memorandum Branch Cash Account

	₹		₹
To Balance b/d	7,540	By Remittance	6,13,250
To Collections	6,47,330	By Exp. (Balance fig.)	29,270
		By Balance c/d	12,350
	6,54,870		**6,54,870**

(3) Depreciation on Plant & Machinery

= 3,07,250 x 15% + 6,02,750 x 15% = ₹ 1,36,500

Profit/Loss of Dependent Branch if HO Sent Goods to Branch at Invoice Price

Question 5

Harrison of Chennai has a branch at New Delhi to which goods are sent @ 20% above cost. The branch makes both cash and credit sales. Branch expenses are met partly from H.O. and partly by the branch. The statement of expenses incurred by the branch every month is sent to head office for recording.

Following further details are given for the year ended 31st December, 20X1:

		₹
Cost of goods sent to Branch at cost		2,00,000
Goods received by Branch till 31-12-20X1 at invoice price		2,20,000
Credit Sales for the year @ invoice price		1,65,000
Cash Sales for the year @ invoice price		59,000
Cash Remitted to head office		2,22,500
Expenses paid by H.O		12,000
Bad Debts written off		750
Balances as on	**1-1-20X1 (₹)**	**31-12-20X1 (₹)**
Stock	25,000 (Cost)	28,000 (invoice price)
Debtors	32,750	26,000
Cash in Hand	5,000	2,500

Show necessary ledger accounts in the books of the head office and determine the Profit or Loss of the Branch for the year ended 31st December, 20X1.

Also prepare branch account following debtors' method.

Answer

Books of Harrison

Branch Stock Account

	₹			₹
To Balance b/d	30,000	By Branch Debtors (Sales)		1,65,000
To Goods Sent to Branch A/c	2,40,000	By Branch Cash		59,000
To Branch Adjustment A/c (Balancing Figure – Excess of Sale over Invoice Price)	2,000	By Balance c/d		
		Goods in Transit (₹ 2,40,000 – ₹ 2,20,000)	20,000	
		Closing Stock at Branch	28,000	48,000
	2,72,000			**2,72,000**

Branch Debtors Account

	₹		₹
To Balance b/d	32,750	By Bad debts written off	750
To Branch Stock A/c (Sales)	1,65,000	By Branch Cash (bal. fig.)	1,71,000
		By Balance c/d	26,000
	1,97,750		**1,97,750**

Branch Cash Account

	₹		₹
To Balance b/d	5,000	By Bank Remittance to H.O.	2,22,500
To Branch Stock	59,000	By Branch Expenses	10,000
To Branch Debtors	1,71,000	[met by Branch (Bal. fig.)]	
		By Balance c/d	2,500
	2,35,000		**2,35,000**

Branch Adjustment Account

	₹		₹
To Branch P&L - Gross Profit (Bal. fig.)	39,000	By Stock Reserve opening (25,000 x 20%)	5,000
To Stock Reserve closing (48,000 × 1/6)	8,000	By Goods sent to Branch A/c	40,000
		By Branch Stock A/c	2,000
	47,000		**47,000**

Branch Expenses

	₹		₹
To Cash (H.O)	12,000	By Branch P&L A/c	22,000
To Branch Cash	10,000		
	22,000		**22,000**

Branch Profit and Loss Account

	₹		₹
To Branch Expenses	22,000	By Gross Profit (Br. Adjustment A/c)	39,000
To Branch Debtors (bad debts)	750		
To Net Profit	16,250		
	39,000		**39,000**

Goods Sent to Branch Account

	₹		₹
To Branch Adjustment A/c	40,000	By Branch Stock A/c	2,40,000
To Purchase A/c – Transfer	2,00,000		
	2,40,000		**2,40,000**

As per Debtors Method

Books of Harrison

New Delhi Branch Account

	₹		₹
To Balance B/d		By Stock Reserve	5,000
Stock	30,000	By Goods Sent to Branch A/c	40,000
Debtors	32,750	By Cash - Remittance from branch	2,22,500
Cash	5,000	By Balance c/d	
To Goods Sent to Branch A/c	2,40,000	Debtors	26,000

(2,00,000 + 20%)		Stock (including Transit – W.N 2)	48,000
To Cash (Exp. paid by H.O.)	12,000	Cash	2,500
To NP c/f to Profit & Loss A/c (B.F.)	16,250		
To Stock reserve (48,000 x 20/120)	8,000		
	3,44,000		**3,44,000**

Working Note:

Closing Stock = Stock at branch + Stock in Transit (Goods sent by HO – Goods Received by Branch)

= ₹ 28,000 + (₹ 2,40,000 – ₹ 2,20,000) = ₹ 48,000

Question 6

Hindustan Industries Mumbai has a branch in Cochin to which office goods are invoiced at cost plus 25%. The branch sells both for cash and on credit. Branch Expenses are paid direct from head office, and the Branch has to remit all cash received into the Head Office Bank Account.

From the following details, relating to calendar year 20X1, prepare the accounts in the Head Office Ledger and ascertain the Branch Profit. Branch does not maintain any books of account, but sends weekly returns to the Head Office:

	₹
Goods received from Head Office at invoice price	6,00,000
Returns to Head Office at invoice price	12,000
Stock at Cochin as on 1st Jan., 20X1	60,000
Sales in the year - Cash	2,00,000
Credit	3,60,000
Sundry Debtors at Cochin as on 1st Jan. 20X1	72,000
Cash received from Debtors	3,20,000
Discount allowed to Debtors	6,000
Bad debts in the year	4,000
Sales returns at Cochin Branch	8,000
Rent, Rates, Taxes at Branch	18,000
Salaries, Wages, Bonus at Branch	60,000
Office Expenses	6,000
Stock at Branch on 31st Dec. 20X1 at invoice price	1,20,000

Prepare Branch accounts in books of head office by Stock and debtors method.

Answer

Books of Hindustan Industries, Mumbai

Cochin Branch Stock Account

	₹		₹
To Balance b/d - Op Stock	60,000	By Bank A/c - Cash Sales	2,00,000
To Branch Debtors A/c (sales return)	8,000	By Branch Debtors A/c - Credit Sales	3,60,000

To Goods sent to Branch A/c	6,00,000	By Goods sent to Br. (Returns to H.O.)	12,000
To Branch Adj. A/c (Excess of Selling Price over Invoice Price B.F.)	24,000	By Balance c/d - Closing stock	1,20,000
	6,92,000		**6,92,000**

Cochin Branch Stock Adjustment Account

	₹		₹
To Goods sent to Branch A/c	2,400	By Balance b/d (1/5 of ₹ 60,000)	12,000
(1/5 of ₹ 12,000) (on returns)		By Goods sent to Branch A/c	1,20,000
To Br. P&L A/c (Profit on sale) - B/f	1,29,600	(1/5 of ₹ 6,00,000)	
To Balance c/d (1/5 of ₹ 1,20,000)	24,000	By Branch Stock	24,000
	1,56,000		**1,56,000**

Goods Sent to Branch Account

	₹		₹
To Cochin Br. Stock Adjustment A/c	1,20,000	By Cochin Branch Stock A/c	6,00,000
To Cochin Branch Stock A/c (Return)	12,000	By Cochin Branch Stock Adj. A/c	2,400
To Purchases A/c (B.F.)	4,70,400		
	6,02,400		**6,02,400**

Branch Debtors Account

	₹		₹
To Balance b/d	72,000	By Bank	3,20,000
To Branch Stock A/c	3,60,000	By Branch P&L A/c Discount	6,000
		By Branch P&L A/c - Bad Debts	4,000
		By Branch Stock - Sales Returns	8,000
		By Balance c/d (B.F.)	94,000
	4,32,000		**4,32,000**

Branch Expenses Account

	₹		₹
To Bank A/c (Rent, Rates & Taxes)	18,000	By Branch Profit & Loss A/c	84,000
To Bank A/c (Salaries & Wages)	60,000	(Transfer) (B.F.)	
To Bank A/c (office exp.)	6,000		
	84,000		**84,000**

Branch Profit & Loss Account for the year ending 31st Dec. 20X1

	₹		₹
To Branch Expenses A/c	84,000	By Branch Stock Adj. A/c	1,29,600
To Branch Debtors A/c	6,000		
To Branch Debtors A/c	4,000		
To N.P. transfer. to Profit & Loss A/c	35,600		
	1,29,600		**1,29,600**

Question 7

M/s Marena, Delhi has a branch at Bangalore to which office goods are invoiced at cost plus 25%. The branch sells both for cash and on credit.

Branch Expenses are paid direct from head office and the Branch has to remit all cash received into the Head Office Bank Account.

From the following details, relating to calendar year 20X1, prepare the accounts in the Head Office Ledger and ascertain the Branch Profit under Stock and Debtors Method'.

Branch does not maintain any books of account, but sends weekly returns to the Head Office.

	₹
Goods received from Head Office at invoice price	45,00,000
Returns to Heads Office at invoice price	90,000
Stock at Bangalore as on 1st January, 20X1	4,50,000
Sales during the year - Cash	15,00,000
- Credit	27,00,000
Sundry Debtors at Bangalore as on 1st January, 20X1	5,40,000
Cash received from Debtors	24,00,000
Discount allowed to Debtors	45,000
Bad Debts in the year	30,000
Sales returns at Bangalore Branch	60,000
Rent, Rates and Taxes at Branch	1,35,000
Salaries, Wages and Bonus at Branch	4,50,000
Office Expenses	45,000
Stock at Branch on 31st December, 20X1 at invoice price	9,00,000

Answer

Bangalore Branch Stock Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	4,50,000	By Goods sent to branch A/c (Return)	90,000
To Goods sent to branch A/c	45,00,000	By Bank A/c (Cash sales)	15,00,000
To Branch debtors A/c (Returns)	60,000	By Branch debtors A/c (credit sales)	27,00,000
To Branch adjustment A/c (Surplus over invoice price)	1,80,000	By Balance c/d	9,00,000
	51,90,000		**51,90,000**

Bangalore Branch Adjustment Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Stock reserve – 20% of ₹ 9,00,000 (closing stock)	1,80,000	By Stock reserve 20% of 4,50,000 (Opening stock)	90,000
To Branch profit & loss A/c (Gross profit)	9,72,000	By Goods sent to branch A/c 20% of ₹ 44,10,000 (45,00,000 – 90,000)	8,82,000

		By Branch stock A/c	1,80,000
	11,52,000		**11,52,000**

Branch Profit & Loss Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Branch expenses A/c	6,30,000	By Branch adjustment A/c (G.P.)	9,72,000
To Branch debtor's A/c (Discount)	45,000		
To Branch Debtors A/c (Bad debts)	30,000		
To Net profit (trans. to Profit & Loss A/c)	2,67,000		
	9,72,000		**9,72,000**

Branch Expenses Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Bank A/c (Rent, rates & taxes)	1,35,000	By Branch profit and loss A/c	6,30,000
To Bank A/c (Salaries, wages & bonus)	4,50,000		
To Bank A/c (Office expenses)	45,000		
	6,30,000		**6,30,000**

Branch Debtors Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	5,40,000	By Bank A/c	24,00,000
To Branch stock A/c	27,00,000	By Branch profit and loss A/c	75,000
		(Bad debts and discount)	
		By Branch stock A/c (Sales returns)	60,000
		By Balance c/d (bal. fig.)	7,05,000
	32,40,000		**32,40,000**

Goods sent to Branch Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Branch stock A/c	90,000	By Branch stock A/c	45,00,000
To Branch adjustment A/c	8,82,000		
To Purchases A/c	35,28,000		
	45,00,000		**45,00,000**

Question 8

Vijay & Co. of Jaipur has a branch in Patna to which goods are sent @ 20% above cost. The branch makes both cash & credit sales. Branch expenses are paid direct from Head office and the branch has to remit all cash received into the bank account of Head office. Branch doesn't maintain any books of accounts, but sends monthly returns to the head office.

Following further details are given for the year ended 31st March, 20X2:

	Amount (₹)
Goods received from Head office at Invoice Price	8,40,000

Goods returned to Head office at Invoice Price	60,000
Cash sales for the year 20X1-X2	1,85,000
Credit Sales for the year 20X1-X2	6,25,000
Stock at Branch as on 01-04-20X1 at Invoice price	72,000
Sundry Debtors at Patna branch as on 01-04-20X1	96,000
Cash received from Debtors	4,38,000
Discount allowed to Debtors	7,500
Goods returned by customer at Patna Branch	14,000
Bad debts written off	5,500
Amount recovered from Bad debts previously written off as Bad	1,000
Rent, Rates & taxes at Branch	24,000
Salaries & wages at Branch	72,000
Office Expenses (at Branch)	9,200
Stock at Branch as on 31-03-20X2 at cost price	1,25,000

Prepare necessary ledger accounts in the books of Head office by following Stock and Debtors method and ascertain Branch profit.

Answer

Branch Stock Account

Particulars	₹	Particulars		₹
To Balance b/d	72,000	By Sales:		
To Goods Sent to Branch A/c	8,40,000	Cash	1,85,000	
To Branch P&L A/c	94,000	Credit	6,25,000	
		Less: Return	(14,000)	7,96,000
		By Goods Sent to Branch A/c		60,000
		By Balance c/d		1,50,000
	10,06,000			**10,06,000**

Branch Debtors Account

Particulars	₹	Particulars	₹
To Balance b/d	96,000	By Cash	4,38,000
To Sales	6,25,000	By Returns	14,000
		By Discounts	7,500
		By Bad debts	5,500
		By Balance c/d	2,56,000
	7,21,000		**7,21,000**

Branch Expenses Account

Particulars	₹	Particulars	₹
To Salaries & Wages	72,000	By Branch P&L A/c	1,18,200
To Rent, Rates & Taxes	24,000		
To Office Expenses	9,200		

To Discounts	7,500		
To Bad Debts	5,500		
	1,18,200		**1,18,200**

Branch Profit & Loss Account for year ended 31.3.X2

Particulars	**₹**	**Particulars**	**₹**
To Branch Expenses A/c	1,18,200	By Branch stock	94,000
To Net Profit trans. to General P&L A/c	93,800	By Branch Stock Adjustment A/c	1,17,000
		By Bad debts recovered	1,000
	2,12,000		**2,12,000**

Branch Stock Adjustment Account for year ended 31.3.20X2

Particulars	**₹**	**Particulars**	**₹**
To Goods sent to branch - returns	10,000	By Balance b/d (72,000 x 1/6)	12,000
(60,000 x 1/6)		By Goods sent to branch	1,40,000
To Branch P&L A/c	1,17,000	(8,40,000 x 1/6)	
To Balance c/d (1,50,000 x 1/6)	25,000		
	1,52,000		**1,52,000**

Question 9

Modern Stores of Delhi operates a branch at Nagpur. The Head office affects all purchases and the branch is charged at cost plus 60%. All the cash received by Nagpur Branch is remitted to Delhi. The Branch expenses are met by the Branch out of an Imprest Account which is reimbursed by the Delhi Head Office every month. The Branch maintains a Sales Ledger and certain essential subsidiary records, but otherwise all branch transactions are recorded at Delhi.

The following branch transactions took place during the year ended 31st March, 20X2:

	₹
Goods received from Delhi at Selling Price	1,50,000
Cash Sales	69,000
Goods returned to Delhi at Selling Price	3,000
Credit Sales (Net of returns)	63,000
Authorized Reduction in Selling Price of Goods Sold	1,500
Cash Received from Debtors	48,000
Debtors written off as irrecoverable	2,000
Cash Discount allowed to Debtors	1,500

- On 1st April, 20X1 the Stock in trade at the Branch at Selling Price amounted to ₹ 60,000 and the Debtors were ₹ 40,000.
- A consignment of goods sent to the Branch on 27th March, 20X2 with a Selling Price of ₹ 1,800 was not received until 5th April, 20X2 and had not been accounted for in stock.
- The Closing Stock at Selling Price was ₹ 72,900.
- The expenses relating to the Branch for the year ended 31st March, 20X2 amounted to ₹ 18,000.

You are required to prepare the Branch Stock Account, Branch Debtors Account, Branch Adjustment Account and Branch Profit and Loss Account maintained at Delhi under Stock and Debtors method. Any stock unaccounted for is to be regarded as normal wastage.

Answer

Books of Modern Store Delhi

Nagpur Branch Stock A/c

Particulars	₹	Particulars	₹
To Opening stock	60,000	By Bank A/c (Cash Sales)	69,000
To Goods sent to branch A/c	1,50,000	By Branch Debtors A/c (Credit sales)	63,000
To Goods sent to branch A/c	1,800	By Goods sent to branch A/c (Return)	3,000
		By Branch adjustment A/c (Reduction in selling price)	1,500
		By Br. adjustment A/c (Normal Loss)	600
		By Closing stock (including stock in transit of ₹ 1,800)	74,700
	2,11,800		**2,11,800**

Branch Debtors A/c

Particulars	₹	Particulars	₹
To Bal. b/d	40,000	By Cash/Bank A/c	48,000
To Branch Stock (Sales)	63,000	By Branch P&L A/c (Bad debts)	2,000
		By Branch P&L A/c (Discount)	1,500
		By Balance c/d	51,500
	103,000		**103,000**

Branch Adjustment A/c

Particulars	₹	Particulars	₹
To Branch Stock Account (Reduction in selling price)	1,500	By Stock reserve A/c (60,000 x 60/160)	22,500
To Br. Stock Account (Normal loss)	600	By Goods sent to br. A/c (Loading)	56,925
To Goods sent to br. A/c (loading on return) (3,000 x 60/160)	1,125	(1,51,800 x 60/160)	
To Branch P&L A/c	48,187		
To Stock reserve (74,700 x 60/160)	28,013		
	79,425		**79,425**

Branch P&L A/c

Particulars	₹	Particulars	₹
To Branch expenses A/c	18,000	By Branch Adjustment A/c	48,187
To Bad debts A/c	2,000		
To Discount A/c	1,500		
To Net Profit	26,687		

	48,187		**48,187**

Question 10

Jolly Industries of Delhi is a trader in spices. It has a branch at Jalandhar to which Head office invoice goods at 20% on sales. The Jalandhar branch sells spices both on cash and credit. Branch remit all the cash received to Head Office Bank account, thus all expenses of branch are also directly paid from head office.

From the following information given, Prepare Branch Accounts in the Head office ledger using Stock and Debtors Method.

Branch does not maintain any books of account, but send fortnightly returns to Head office.

	₹
Stock at Jalandhar Branch as on 1st April, 20X1 (Cost Price)	1,00,000
Sundry Debtors at Jalandhar as on 1st April, 20X1	1,10,000
Cash received from Debtors	3,45,000
Cash sales	1,04,000
Bad debts during the year	9,500
Discount allowed to Debtors	5,500
Goods received from Head Office at Invoice Price	6,00,000
Returns to Head office at Invoice Price	60,000
Normal loss of goods during transport (Out of Goods sent by H.O. to Branch)	12,000
Sales returns at Jalandhar Branch	11,000
Salaries and staff welfare expenses at Branch	54,000
Rent and taxes at Branch	9,000
Other Office Expenses	2,500
Sundry Debtors at Branch as at 31st March 20X2	1,55,000
Stock at Jalandhar as on 31st March, 20X2 (Cost Price)	1,20,000

Credit sales at Branch are four times of the cash Sales at Branch.

Answer

Books of Jolly Industries, Delhi

Jalandhar Branch Stock Account

Particulars	**₹**	**Particulars**	**₹**
To Balance b/d - Op Stock	1,25,000	By Bank A/c - Cash Sales	1,04,000
To Branch Debtors A/c - Sales Return	11,000	By Branch Debtors A/c - Credit Sales	4,16,000
To Goods sent to Branch A/c (6,00,000 + 12,000)	6,12,000	By Goods sent to Br. (Returns to H.O.)	60,000
		By Br. Stock Adj. A/c (Normal Loss)	12,000
		By Branch Stock Adjustment A/c (Abnormal Loss) (bal. fig.)	6,000
		By Balance c/d - Closing stock	1,50,000
	7,48,000		**7,48,000**

Jalandhar Branch Stock Adjustment Account

Particulars	₹	Particulars	₹
To Goods sent to Branch A/c (1/5 of ₹ 60,000) (on returns)	12,000	By Balance b/d (20% of 1,25,000)	25,000
		By Good sent to Br. A/c (1/5 of ₹ 6,12,000)	1,22,400
To Branch Stock A/c (abnormal Loss) (6,000 x 1/5)	1,200		
To Branch Stock A/c (Normal Loss)	12,000		
To Balance c/d (1/5 of ₹ 1,50,000)	30,000		
To Br. P&L A/c (Profit on sale) Bal fig	92,200		
	1,47,400		**1,47,400**

Goods Sent to Branch Account

Particulars	₹	Particulars	₹
To Jalandhar Branch Stock Adj. A/c	1,22,400	By Jalandhar Branch Stock A/c	6,12,000
To Jalandhar Br. Stock A/c (Returns)	60,000	By Jalandhar Branch Stock Adj. A/c	12,000
To Purchases A/c	4,41,600		
	6,24,000		**6,24,000**

Branch Debtors Account

Particulars	₹	Particulars	₹
To Balance b/d	1,10,000	By Bank	3,45,000
To Branch Stock A/c	4,16,000	By Branch P&L A/c – Discount	5,500
		By Branch P&L A/c - Bad Debts	9,500
		By Branch Stock - Sales Returns	11,000
		By Balance c/d	1,55,000
	5,26,000		**5,26,000**

Branch Expenses Account

Particulars	₹	Particulars	₹
To Bank A/c (Rent & Taxes)	9,000	By Branch Profit & Loss A/ (Transfer)	65,500
To Bank A/c (Salaries & Staff Welfare expenses)	54,000		
To Bank A/c (office expenses)	2,500		
	65,500		**65,500**

Branch Profit & Loss Account for the year ending 31st March 20X2

Particulars	₹	Particulars	₹
To Branch Expenses A/c	65,500	By Branch Stock Adj. A/c	92,200
To Branch Debtors A/c	5,500		
To Branch Debtors A/c	9,500		
To Abnormal Loss (cost)	4,800		
To Net Profit trans. to P&L A/c	6,900		
	92,200		**92,200**

Question 11

Sell Well who carried on a retail business opened a branch X on January 1, 20X1 where all sales were on credit basis. All goods required by the branch were supplied from the Head Office and were invoiced to the branch at 10% above cost.

The following were the transactions:

	Jan. 20X1 (₹)	Feb. 20X1 (₹)	March 20X1 (₹)
Goods sent to Branch (Purchase Price)	40,000	50,000	60,000
Sales as shown by the branch monthly report	38,000	42,000	55,000
Cash received from Debtors and remitted to H.O.	20,000	51,000	35,000
Returns to H.O. (Invoice price to Branch)	1,200	600	2,400

The stock of goods held by the branch on March 31, 20X1 amounted to ₹ 53,400 at invoice to branch.

Record these transactions in the Head Office books, showing balances as on 31st March, 20X1 and the branch gross profit for the three months ended on that date.

All workings should form part of your solution.

Answer

Books of Sell Well

Branch Account

	₹			₹
To Goods sent to Branch A/c	1,65,000	By Goods sent to Branch - Loading		15,000
(1,50,000 + 10%)		By Goods sent to Branch - returns		4,200
To Goods sent to Branch A/c	382	By Bank		1,06,000
(4,200 x 10/110)		By Balance c/d		
To Stock Reserve (53,400 x 10/110)	4,855	Stock	53,400	
To N.P. (B.f.) t/f to General P&L A/c	37,363	Debtors	29,000	82,400
	2,07,600			**2,07,600**

Working Note:

Memorandum Branch Debtors Account

	₹		₹
To Balance b/d	–	By Cash/Bank	1,06,000
To Sales	1,35,000	By Balance c/d	29,000
	1,35,000		**1,35,000**

Goods Sent to Branch Account

	₹		₹
To Branch A/c - Loading	15,000	By Branch A/c	1,65,000
To Branch A/c - Returns	4,200	By Branch A/c - Loading on returns	382
To Purchases A/c	1,46,182		
	1,65,382		**1,65,382**

Question 12

Widespread invoices goods to its branch at cost plus 20%. The branch sells goods for cash as well as on credit. The branch meets its expenses out of cash collected from its debtors and cash sales and remits the balance of cash to head office after withholding ₹ 10,000 necessary for meeting immediate requirements of cash. On 31st March, 20X1 the assets at the branch were as follows:

	₹ ('000)
Cash in Hand	10
Trade Debtors	384
Stock, at Invoice Price	1,080
Furniture and Fittings	500

During the accounting year ended 31st March, 20X2 the invoice price of goods dispatched by the head office to the branch amounted to ₹ 1 crore 32 lakhs. Out of the goods received by it, the branch sent back to head office goods invoiced at ₹ 72,000. Other transactions at the branch during the year were as follows:

	(₹ '000)
Cash Sales	9,700
Credit Sales	3,140
Cash collected by Branch from Credit Customers	2,842
Cash Discount allowed to Debtors	58
Returns by Customers	102
Bad Debts written off	37
Expenses paid by Branch	842

On 1st January, 20X2 the branch purchased new furniture for ₹ 1 lakh for which payment was made by head office through a cheque.

On 31st March, 20X2 branch expenses amounting to ₹ 6,000 were outstanding and cash in hand was again ₹ 10,000. Furniture is subject to depreciation @ 16% per annum on diminishing balance method.

Prepare Branch Account in the books of head office for the year ended 31st March, 20X2.

Answer

In the Head Office Books Branch Account for the year ended 31st March, 20X2

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d:		By Balance b/d:	
Cash in hand	10	Stock reserve (1,080 x 1/6)	180
Trade debtors	384	By Goods sent to branch A/c	72
Stock	1,080	(Returns to H.O.)	
Furniture and fittings	500	By Goods sent to branch A/c	2,188
To Goods sent to branch A/c	13,200	(Loading on net goods sent to br.)	
To Bank A/c (Payment for furniture)	100	By Bank A/c (W.N.5)	11,700
To N.P. trans. to General P/L account	1,096	(Remittance from branch to H.O.)	
To Balance c/d:		By Balance c/d:	
Stock reserve (1,470 x 1/6)	245	Cash in hand	10

Outstanding expenses	6	Trade debtors (W.N.3)	485
		Stock (W.N.1)	1,470
		Furniture and fittings (W.N.4)	516
	16,621		**16,621**

Working Notes:

1. Invoice price and cost

Let cost be	100
So, invoice price	120
Loading	20
Loading: Invoice price = 20:120 =	1:6

2. Memorandum Branch Stock Account

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d	1,080	By Goods sent to branch	72
To Goods sent to branch	13,200	By Branch Cash	9,700
To Branch debtors	102	By Branch debtors	3,140
		By Balance c/d	1,470
	14,382		**14,382**

3. Memorandum Branch Debtors Account

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d	384	By Branch cash	2,842
To Branch stock	3,140	By Branch expenses discount	58
		By Branch stock (Returns)	102
		By Branch expenses (Bad debts)	37
		By Balance b/d	485
	3,524		**3,524**

4. Memorandum Branch Furniture and Fittings Account

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d	500	By Depreciation	84
To Bank	100	[(500 x 16%) + (100 x 16% x 3/12)]	
		By Balance c/d	516
	600		**600**

Note: Since the new furniture was purchased on 1st Jan 20X2 depreciation will be for 3 months.

5. Memorandum Branch Cash Account

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d	10	By Branch expenses	842
To Branch stock	9,700	By Remittances to H.O. (B.F)	11,700
To Branch debtors	2,842	By Balance b/d	10
	12,552		**12,552**

Profit/Loss of Dependent Branch if HO Sent Goods to Branch at Wholesale Price

Question 13

M/s Rahul operates a number of retail outlets to which goods are invoiced at wholesale price which is cost plus 25%. These outlets sell the goods at the retail price which is wholesale price plus 20%.

Following is the information regarding one of the outlets for the year ended 31.3.20X2:

	₹
Stock at the outlet 1.4.20X1	30,000
Goods invoiced to the outlet during the year	3,24,000
Gross profit made by the outlet	60,000
Goods lost by fire	?
Expenses of the outlet for the year	20,000
Stock at the outlet 31.3.20X2	36,000

You are required to prepare the following accounts in the books of Rahul Limited for the year ended 31.3.20X2:

(a) Outlet Stock Account

(b) Outlet Profit & Loss Account

(c) Stock Reserve Account

Answer

Outlet Stock Account

	₹		₹
To Balance b/d	30,000	By Sales (Working Note 1)	3,60,000
To Goods sent to outlet	3,24,000	By Goods lost by fire (b.f.)	18,000
To Gross Profit c/d	60,000	By Balance c/d	36,000
	4,14,000		**4,14,000**

Outlet Profit & Loss Account

	₹		₹
To Expenses	20,000	By Gross Profit b/d	60,000
To Goods lost by fire (W.N.2)	18,000		
To Profit transferred	22,000		
	60,000		**60,000**

Stock Reserve Account

	₹		₹
To HO P&L A/c - Transfer	6,000	By Balance b/d	6,000
To Balance c/d (Stock Res. required)	7,200	By HO P&L A/c (W.N. 3)	7,200
	13,200		**13,200**

Working Notes:

(1) Calculation of sales:

Wholesale Price = 100 + 25 = 125

Retail Price = 125 + 20% = 150

Gross Profit at the outlet = Wholesale Price – Retail Price = (150 – 125) = 25

Retail sales value = 60,000 x 150/25 = ₹ 3,60,000

(2) Goods lost by fire:

Opening Stock + Goods Sent + Gross Profit – Sales – Closing Stock

30,000 + 3,24,000 + 60,000 – 3,60,000 – 36,000 = ₹ 18,000

(3) Stock Reserve

Opening Stock = 30,000 x 25/125 = ₹ 6,000

Closing Stock = 36,000 x 25/125 = ₹ 7,200

Question 14

Following is the information of the Jammu branch of Best New Delhi for the year ending 31st March, 20X2 from the following:

(1) Goods are invoiced to the branch at cost plus 20%.

(2) The sale price is cost to H.O. plus 50%

(3) Other information:

Stock as on 01.04.20X1(invoice price)	₹ 2,20,000
Goods sent during the year (invoice price)	₹ 11,00,000
Sales during the year	₹ 12,00,000
Expenses incurred at the branch	₹ 45,000

Ascertain

(i) The profit earned by the branch during the year.

(ii) Branch stock reserve in respect of unrealized profit.

Answer

(i) Calculation of profit earned by the branch

In the books of Jammu Branch

Trading Account and Profit and Loss Account

Particulars	Amount	Particulars	Amount
To Opening stock	2,20,000	By Sales	12,00,000
To Goods received by Head office	11,00,000	By Closing stock (Refer W.N.)	3,60,000
To Expenses	45,000		
To Net profit (Bal fig)	1,95,000		
	15,60,000		**15,60,000**

(ii) Stock reserve in respect of unrealised profit = ₹ 3,60,000 x (20/120) = ₹ 60,000

Working Note:

	₹

Cost Price	100
Invoice Price	120
Sale Price	150
Calculation of closing stock at invoice price	**₹**
Opening stock at invoice price	2,20,000
Goods received during the year at invoice price	11,00,000
	13,20,000
Less: Cost of goods sold at invoice price [12,00,000 x (120/150)]	(9,60,000)
Closing stock	**3,60,000**

Question 15

Following is information of Kullu Branch of M/s Best Enterprises of Shimla for year ending 31st March 20X2:

(1) Goods are invoiced to the branch at cost plus 20%

(2) Branch sold goods at invoice price plus 25%.

(3) Other Information is as follows:

(i) Stock (at cost price) as on 1st April, 20X1 is ₹ 2,25,000

(ii) Goods sent by Head office to branch during the year (at cost price) are ₹ 14,85,000

(iii) Goods returned by Branch to Head office during the year (at Invoice price) are ₹ 75,000

(iv) Sales by the branch during the year ₹ 19,50,000

(v) Expenses incurred at Branch ₹ 56,000

You are required to ascertain the following:

(a) Profit earned by the Branch by Preparing Trading and profit and loss account for the year ended 31st March 20X2

(b) Also find the stock reserve on Closing stock

Answer

(i) Calculation of profit earned by the branch

In the books of Kullu Branch

Trading and Profit and Loss Account

Particulars	**Amount**	**Particulars**	**Amount**
To Opening stock	2,70,000	By Sales	19,50,000
To Goods received by Head office	17,82,000	By Goods returned by Branch	75,000
To Expenses	56,000	By Closing stock (Refer W.N.)	4,17,000
To Net profit (Bal fig)	3,34,000		
	24,42,000		**24,42,000**

(ii) Stock reserve in respect of unrealised profit = 4,17,000 x (20/120) = ₹ 69,500

Working Note: Calculation of Closing Stock

Cost price	100

Invoice price	120 (100 + 20)
Sales price	150 (120 + 25% of 120)
Opening Stock	2,70,000
Goods received	17,82,000
Less: Goods Returned	(75,000)
	19,77,000
Less: Cost of Goods Sold (Invoice price)	(15,60,000)
Closing Stock	**4,17,000**

Question 16

Beta, having head office at Mumbai has a branch at Nagpur. The head office does wholesale trade only at cost plus 80%. The goods are sent to branch at the wholesale price viz., cost plus 80%. The branch at Nagpur is wholly engaged in retail trade and the goods are sold at cost to H.O. plus 100%.

Following details are furnished for the year ended 31st March, 20X1:

	Head Office (₹)	Branch (₹)
Opening stock	2,25,000	
Purchases	25,50,000	
Goods sent to branch (Cost to H.O. plus 80%)	9,54,000	
Sales	27,81,000	9,50,000
Office expenses	90,000	8,500
Selling expenses	72,000	6,300
Staff salary	65,000	12,000

You are required to prepare Trading and Profit and Loss Account of the head office and branch for the year ended 31st March, 20X1.

Answer

Trading and Profit and Loss A/c for the year ended 31st March 20X1

Particulars	H.O. (₹)	Branch (₹)	Particulars	H.O. (₹)	Branch (₹)
To Opening stock	2,25,000	–	By Sales	27,81,000	9,50,000
To Purchases	25,50,000	–	By Goods sent to Br.	9,54,000	–
To Goods received from H.O.	–	9,54,000	By Closing stock	7,00,000	99,000
To Gross profit c/d	16,60,000	95,000	(W.N.1 & 2)		
	44,35,000	**10,49,000**		**44,35,000**	**10,49,000**
To Office expenses	90,000	8,500	By Gross profit b/d	16,60,000	95,000
To Selling expenses	72,000	6,300			
To Staff salaries	65,000	12,000			
To Br. Stock Res. (W.N.3)	44,000	–			
To Net Profit	13,89,000	68,200			
	16,60,000	**95,000**		**16,60,000**	**95,000**

Working Notes:

(1)	**Calculation of closing stock of head office:**	**₹**
	Opening Stock of head office	2,25,000
	Goods purchased by head office	25,50,000
		27,75,000
	Less: Cost of goods sold [37,35,000 x 100/180]	(20,75,000)
		7,00,000
(2)	**Calculation of closing stock of branch:**	**₹**
	Goods received from head office [At invoice value]	9,54,000
	Less: Invoice value of goods sold [9,50,000 x 180/200]	(8,55,000)
		99,000
(3)	**Calculation of unrealized profit in branch stock:**	
	Branch stock	₹ 99,000
	Profit included	80% of cost
	Hence, unrealized profit would be = ₹ 99,000 x 80/180	**₹ 44,000**

Question 17

Walkaway Footwears has its head office at Nagpur and Branch at Patna. It invoiced goods to its branch at 20% less than the list price which is cost plus 100%, with instruction that cash sales were to be made at invoice price and credit sales at catalogue price (i.e. list price).

The following information was available at the branch for the year ended 31st March, 20X2 **(Figures in ₹)**

Stock on 1st April,20X1 (invoice price)	12,000
Debtors on 1st April, 20X2	10,000
Goods received from head office (invoice price)	1,32,000
Sales: Cash	46,000
Credit	1,00,000
Cash received from debtors	85,000
Expenses at branch	17,500
Debtors on 31st March, 20X2	25,000
Stock on 31st March, 20X2 (invoice price)	17,600
Remittances to head office	1,20,000

You are required to prepare Branch Stock Account, Branch Adjustment Account, Branch Profit & Loss Account and Branch Debtors Account for the year ended 31st March, 20X2.

Answer

In the books of walkaway footwears

Patna Branch Stock Account

Particulars	₹	Particulars	₹
To Balance b/d	12,000	By Bank A/c (Cash sales)	46,000

To Goods Sent to Branch A/c	1,32,000	By Branch debtor A/c (credit sales)	1,00,000
To Branch adjustment A/c	20,000	By Shortage in stock A/c	400
(Surplus over invoice price)		By Balance c/d	17,600
	1,64,000		**1,64,000**

Patna Branch Adjustment Account

Particulars	₹	Particulars	₹
To Stock reserve (closing stock)	6,600	By Stock reserve (Opening stock)	4,500
(₹ 17,600 x 60/160)		(₹ 12,000 x 60/160)	
To Shortage (400 x 60/160)	150	By Goods Sent to Branch A/c	49,500
To Branch profit & loss A/c (Gross profit)	67,250	(₹ 1,32,000 x 60/160)	
		By Branch Stock A/c	20,000
	74,000		**74,000**

Branch Profit & Loss Account

Particulars	₹	Particulars	₹
To Branch expenses A/c	17,500	By Branch adjustment A/c(G.P.)	67,250
To Shortage in stock A/c	250		
To Net profit (trans. to Profit & Loss A/c)	49,500		
	67,250		**67,250**

Branch Debtors Account

Particulars	₹	Particulars	₹
To Balance b/d	10,000	By Bank A/c	85,000
To Branch stock A/c	1,00,000	By Balance c/d (bal. fig.)	25,000
	1,10,000		**1,10,000**

Day to Day Accounting of Independent Branch and Reconciliation of Balance

Question 18

Goods worth ₹ 50,000 sent by head office but the branch has received till closing date goods for worth ₹ 40,000 only. Give journal entry in the books of H.O. and branch for goods in transit.

Answer

Journal entry in the books of Head Office

No entry

Journal entry in the books of Branch

Particulars		Amount (Dr.)	Amount (Cr.)
Goods-in-transit account	Dr.	10,000	
To Head Office account			10,000
(Being goods sent by head office is still in transit)			

Question 19

Alphs having head office in Mumbai has a branch in Nagpur. The branch at Nagpur is an independent branch maintaining separate books of account. On 31.3.20X1, it was found that the goods dispatched by head office for ₹ 2,00,000 was received by the branch only to the extent of ₹ 1,50,000. The balance goods are in transit. What is the accounting entry to be passed by the branch for recording the goods in transit, in its books?

Answer

Journal entry in the books of Nagpur Branch

Particulars		Amount (Dr.)	Amount (Cr.)
Goods-in-transit account	Dr.	50,000	
To Head Office account			50,000
(Being goods sent by head office is still in transit)			

Question 20

Give Journal Entries in the books of an independent Branch to rectify or adjust the following:

(i) Branch paid ₹ 5,000 as salary to H.O supervisor, but the amount paid by branch has been debited to salary account in the books of branch.

(ii) Asset Purchased by branch for ₹ 25,000, but the Asset account was retained in H.O Books.

(iii) A remittance of ₹ 8,000 sent by the branch has not been received by H.O.

(iv) H.O collected ₹ 25,000 directly from the customer of Branch but fails to give the intimation to branch.

(v) Remittance of funds by H.O to branch ₹ 5,000 not entered in branch books.

Answer

Journal Entries in Books of Branch

S. No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Head office account	Dr.	5,000	
	To Salaries account			5,000
	(Being the rectification of salary paid on behalf of H.O.)			
(ii)	Head office account	Dr.	25,000	
	To Bank / Liability A/c			25,000
	(Being Asset purchased by branch but Asset account retained at head office books)			
(iii)	No Entry in Branch Books			
(iv)	Head office account	Dr.	25,000	
	To Debtors account			25,000
	(Being the amount of branch debtors collected by H.O.)			
(v)	Bank A/c	Dr.	5,000	
	To Head Office			5,000
	(Remittance of Funds by H.O. to Branch)			

Question 21

Give Journal Entries in the books of Branch A to rectify or adjust the following:

(i) Head Office expenses ₹ 3,500 allocated to the Branch, but not recorded in the Branch Books.

(ii) Depreciation of branch assets, whose accounts are kept by Head Office not provided earlier for ₹ 1,500.

(iii) Branch paid ₹ 2,000 as salary to a H.O. Inspector, but the amount paid has been debited by the Branch to Salaries account.

(iv) H.O. collected ₹ 10,000 directly from a customer on behalf of the Branch, but no intimation to this effect has been received by the Branch.

(v) A remittance of ₹ 15,000 sent by the Branch has not yet been received by the Head Office.

(vi) Branch A incurred advertisement expenses of ₹ 3,000 on behalf of Branch B.

Answer

Books of Branch A

Journal Entries

S. No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Expenses account	Dr.	3,500	
	To Head office account			3,500
	(Being the allocated expenditure by the head office recorded in branch books)			
(ii)	Depreciation account	Dr.	1,500	
	To Head office account			1,500
	(Being the depreciation provided)			
(iii)	Head office account	Dr.	2,000	
	To Salaries account			2,000
	(Being the rectification of salary paid on behalf of H.O.)			
(iv)	Head office account	Dr.	10,000	
	To Debtors account			10,000
	(Being the adjustment of collection from branch debtors)			
(v)	No entry in branch books			
(vi)	Head Office account	Dr.	3,000	
	To Cash account			3,000
	(Being the expenditure on account of Branch B, recorded in books)			

Note: Entry (vi) Inter branch transactions are routed through Head Office.

Question 22

Pass necessary Journal entries in the books of an independent Branch of a business entity to rectify or adjust the following:

(i) Income of ₹ 2,800 allocated to the Branch by Head Office but not recorded in the Branch books.

(ii) Branch paid ₹3,000 as salary to a Head Office Manager, but the amount paid has been debited by the Branch to Salaries Account.

(iii) Branch incurred travelling expenses of ₹ 5,000 on behalf of other Branches, this was not recorded in the books of Branch.

(iv) A remittance of ₹ 1,50,000 sent by the Branch has not received by Head Office on the date of reconciliation of Accounts.

(v) Head Office allocates ₹ 75,000 to the Branch as Head Office expenses, which has not yet been recorded by the Branch.

(vi) Head Office collected ₹ 30,000 directly from a Branch Customer. The intimation of the fact has been received by the Branch only now, not recorded till now.

(vii) Goods dispatched by the Head office amounting to ₹ 10,000, but not received by the Branch till date of reconciliation. The Goods have been received subsequently.

Answer

Books of Branch

Journal Entries

S. No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Head Office Account	Dr.	2,800	
	To Income Account			2,800
	(Being the income allocated by the Head office not recorded earlier, now recorded)			
(ii)	Head Office Account	Dr.	3,000	
	To Salaries Account			3,000
	(Being rectification of salary paid on behalf of Head Office)			
(iii)	Head office account	Dr.	5,000	
	To Cash Account			5,000
	(Being the rectification of salary paid on behalf of H.O.)			
(iv)	No entry in branch books			
(v)	Expenses Account	Dr.	75,000	
	To Head Office Account			75,000
	(Being the adjustment of collection from branch debtors)			
(vi)	Head Office Account	Dr.	30,000	
	To Debtors Account			30,000
	(Being adjustment entry for collection from Branch Debtors directly by Head Office)			
(vii)	Goods -in-transit Account	Dr.	10,000	
	To Head Office Account			10,000
	(Being the expenditure on account of Branch B, recorded in books)			

Question 23

Give Journal Entries (with Narrations) in the books of an Independent Branch of a business entity to rectify or adjust the following:

(i) Commission (income) of ₹ 7,500 allocated to Branch by Hand office but still no entry is passed in the books of branch.

(ii) Head office paid ₹ 12,000 directly to one of branch's supplier. The intimation is received by branch on reconciliation of bank statement of branch with its books.

(iii) A remittance of ₹ 85,000 is sent by branch to Head office has not been received by Head office till date.

(iv) Branch paid ₹ 9,800 as salary to Head office's employee, but the amount paid has been wrongly debited to salary account.

(v) Branch purchased Furniture for ₹ 18,000 through cheque, but the Furniture account was retained in Head office Books. No entry has yet been passed.

(vi) Branch incurred ₹ 5,500 of expenses on behalf of other branches of head office, this transaction was not recorded in the books of branch.

Answer

Journal Entries In the books of Branch

S. No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Head office account	Dr.	7,500	
	To Commission Income			7,500
	(Being commission income recognized)			
(ii)	Creditors A/c	Dr.	12,000	
	To Head office account			12,000
	(Being H.O. paid off a creditor directly)			
(iii)	No entry in Branch Books			
(iv)	Head office account	Dr.	9,800	
	To Salary A/c			9,800
	(Being amount debited to salary account now rectified)			
(v)	Head office account	Dr.	18,000	
	To Bank A/c			18,000
	(Being furniture purchased by branch retained by H.O.)			
(vi)	Head Office A/c	Dr.	5,500	
	To Bank A/c			5,500
	(Being expenses incurred on behalf of other branches)			

Question 24

Show adjustment journal entry in the books of head office at the end of April, 20X1 for incorporation of inter-branch transactions assuming that only head office maintains different branch accounts in its books.

A. Delhi branch:

(1) Received goods from Mumbai - ₹ 35,000 and ₹ 15,000 from Kolkata

(2) Sent goods to Chennai - ₹ 25,000, Kolkata - ₹ 20,000

(3) Bill Receivable received - ₹ 20,000 from Chennai

(4) Acceptances sent to Mumbai - ₹ 25,000, Kolkata - ₹ 10,000

B. Mumbai Branch (apart from the above):

(5) Received goods from Kolkata - ₹ 15,000, Delhi - ₹ 20,000

(6) Cash sent to Delhi - ₹ 15,000, Kolkata - ₹ 7,000

C. Chennai Branch (apart from the above):

(7) Received goods from Kolkata - ₹ 30,000

(8) Acceptances and Cash sent to Kolkata - ₹ 20,000 and ₹ 10,000 respectively

D. Kolkata Branch (apart from the above):

(9) Sent goods to Chennai - ₹ 35,000

(10) Paid cash to Chennai - ₹ 15,000

(11) Acceptances sent to Chennai - ₹ 15,000

Answer

Journal entry in the books of Head Office

Date	Particulars		Amount (Dr.)	Amount (Cr.)
20X1	Mumbai Branch Account	Dr.	3,000	
30th April	Chennai Branch Account	Dr.	70,000	
	To Delhi Branch Account			15,000
	To Kolkata Branch Account			58,000
	(Being adjustment entry passed by head office in respect of inter-branch transactions for the month of April, 20X1)			

Working Note: Inter – Branch transactions

	Delhi	Mumbai	Chennai	Kolkata
A. Delhi Branch				
(1) Received goods	50,000 (Dr.)	35,000 (Cr.)		15,000 (Cr.)
(2) Sent goods	45,000 (Cr.)		25,000 (Dr.)	20,000 (Dr.)
(3) Received Bills receivable	20,000 (Dr.)		20,000 (Cr.)	
(4) Sent acceptance	35,000 (Cr.)	25,000 (Dr.)		10,000 (Dr.)
B. Mumbai Branch				
(5) Received goods	20,000 (Cr.)	35,000 (Dr.)		15,000 (Cr.)
(6) Sent cash	15,000 (Dr.)	22,000 (Cr.)		7,000 (Dr.)
C. Chennai Branch				
(7) Received goods			30,000 (Dr.)	30,000 (Cr.)
(8) Sent cash and acceptances			30,000 (Cr.)	30,000 (Dr.)
D. Kolkata Branch				
(9) Sent goods			35,000 (Dr.)	35,000 (Cr.)
(10) Sent cash			15,000 (Dr.)	15,000 (Cr.)

(11) Sent acceptances			15,000 (Dr.)	15,000 (Cr.)
	15,000 (Cr.)	**3,000 (Dr.)**	**70,000 (Dr.)**	**58,000 (Cr.)**

Preparation of Final Accounts of Independent Branch

Question 25

Ring Bell Ltd. Delhi has a Branch at Bombay where a separate set of books is used. The following is the trial balance extracted on 31st December, 20X1.

Head Office Trial Balance

Particulars	**₹**	**₹**
Share Capital (Authorised: 10,000 Equity Shares of ₹ 100 each)		
Issued: 8,000 Equity Shares		8,00,000
Profit & Loss Account: 1-1-20X1		25,310
General Reserve		1,00,000
Fixed Assets	5,30,000	
Stock	2,22,470	
Debtors and Creditors	50,500	21,900
Profit for 20X1		52,200
Cash Balance	62,730	
Branch Current Account	1,33,710	
	9,99,410	**9,99,410**

Branch Trial Balance

Particulars	**₹**	**₹**
Fixed Assets	95,000	
Profit for 20X1		31,700
Stock	50,460	
Debtors and Creditors	19,100	10,400
Cash Balance	6,550	
Head Office Current Account		1,29,010
	1,71,110	**1,71,110**

The difference between the balances of the Current Account in the two sets of books is accounted for as follows:

(a) Cash remitted by the Branch on 31st December, 20X1, but received by the Head Office on 1st January 20X2 - ₹ 3,000.

(b) Stock stolen in transit from Head Office and charged to Branch by the Head Office, but not credited to Head Office in the Branch books as the Branch Manager declined to admit any liability (not covered by insurance) - ₹ 1,700.

Give Branch Current Account in Head Office books after incorporating Branch Trial Balance through journal.

Answer

The Branch Current Account in the Head Office Books and Head Office Current Account in the Branch Books do

not show the same balances. Therefore, in order to reconcile them, the following journal entries will be passed in the Head Office books:

Journal Entries

Date	Particulars		Amount (Dr.)	Amount (Cr.)
20X1 Dec., 31	Cash in Transit A/c	Dr.	3,000	
	To Branch Current A/c			3,000
	(Cash sent by the Branch on 31st Dec., 20X1 but received at H.O. on 1st Jan., 20X2)			
	Loss by theft A/c	Dr.	1,700	
	To Branch Current A/c			1,700
	(Stock lost in transit from H.O. to Branch)			

In order to incorporate, in the H.O. books, the given Branch trial balance which has been drawn up after preparing the Branch Profit & Loss Account, the following journal entries will be necessary:

Journal Entries

Date	Particulars		Amount (Dr.)	Amount (Cr.)
20X1 Dec., 31	Branch Current Account	Dr.	31,700	
	To Profit & Loss Account			31,700
	(Branch Profit for the year)			
	Branch Fixed Assets	Dr.	95,000	
	Branch Stock	Dr.	50,460	
	Branch Debtors	Dr.	19,100	
	Branch Cash	Dr.	6,550	
	To Branch Current Account			1,71,110
	(Branch assets brought into H.O. Books)			
	Branch Current A/c	Dr.	10,400	
	To Branch Creditors			10,400
	(Branch creditors brought into H.O. Books)			

Branch Current Account

Particulars	₹	Particulars	₹
To Balance b/d	1,33,710	By Cash in transit	3,000
To Profit & Loss A/c	31,700	By Loss of theft	1,700
To Branch Creditors	10,400	By Sundry Branch Assets	1,71,110
	1,75,810		**1,75,810**

Profit and Loss Account for 20X1

Particulars	₹	Particulars	₹
To Loss by Theft	1,700	By Balance b/d	25,310
To Balance c/d	1,07,510	By Year's Profit: H.O.	52,200
		Branch	31,700
	1,09,210		**1,09,210**

Question 26

The following Trial balances as at 31st December, 20X1 have been extracted from the books of Major Ltd. and its branch at a stage where the only adjustments requiring to be made prior to the preparation of a Balance Sheet for the undertaking as a whole are to be done.

	Head Office		Branch	
	Dr.	Cr.	Dr.	Cr.
Share Capital		1,50,000		
Fixed Assets	75,125		18,901	
Current Assets	1,21,809		23,715	(Note 3)
Current Liabilities		34,567		9,721
Stock Reserve, 1st Jan., 20X1 (Note 2)		693		
Revenue Account		43,210		10,250
Branch Account	31,536			
Head Office Account				22,645
	2,28,470	**2,28,470**	**42,616**	**42,616**

You are required to record the following in the appropriate ledger accounts in both sets of books.

Note:

1. Goods transferred from Head Office to the Branch are invoiced at cost plus 10% and both Revenue Accounts have been prepared on the basis of the prices charged.
2. Relating to the Head Office goods held by the Branch on 1st January, 20X1.
3. Includes goods received from Head Office at invoice price ₹ 4,565.
4. Goods invoiced by Head Office to Branch at ₹ 3,641 were in transit at 31st December, 20X1, as was also a remittance of ₹ 3,500 from the Branch.
5. At 31st December, 20X1, the following transactions were reflected in the Head Office books but unrecorded in the Branch books:

   The purchase price of lorry, ₹ 2,500, which reached the Branch on December 25; a sum received on December 30, 20X1 from one of the Branch debtors, ₹ 750.

Answer

H.O. Books

Branch Account

20X1		₹	20X1		₹
Jan. 1	To Balance b/d	31,536	Dec. 31	By Cash in transit	3,500
				By Balance c/d	28,036
		31,536			**31,536**

Cash in transit Account

20X1		₹	20X1		₹
Dec. 31	To Branch A/c	3,500	Dec. 31	By Balance c/d	3,500